

Agenda Item 4: Assurance on Sustainability Reporting

Lyn Provost, Sustainability
Assurance Working Group
(SAWG) Chair

Natalie Klonaridis, Director

Claire Grayston, Principal

IAASB Meeting

September 13, 2022

IAASB

International Auditing
and Assurance
Standards Board®



Agenda for IAASB Discussion

Tuesday

1. Title of the standard
2. Project proposal
3. Overall structure
4. Defined terms
5. Approach to requirements

Friday

1. Approve Project Proposal
2. Continue discussion on approach to requirements

IAASB June 2022 Discussion: Key Outcomes

Timely and responsive standard-setting, initiate action immediately

Develop an overarching assurance standard on sustainability

Develop a project proposal to clearly set out IAASB's intentions

Title of Overarching Standard

Agenda Item 4

**International Standard on Sustainability Assurance™ (ISSA) 5000,
*General Requirements for Sustainability Assurance Engagements***

- **Allows for a new suite of standards**
- **Stand-alone standard separate from the ISAEs**
- **Unique numbering**
- **Impact on IAASB Standards and Framework to be considered in due course**

Question 1: Title of the Standard

Agenda Item 4

**Is the IAASB aware of any impediments in using the proposed title?
If so, what alternative title would be appropriate?**



CAG Feedback on Project Proposal

Agenda Item 4-A

- Acknowledged the significant progress and supportive of direction
- Noted timeliness is important, recognized timeline is ambitious
- Project objectives: supportive
- Approach to undertaking project:
 - Supportive of approach (including addressing limited and reasonable assurance) and priority areas
 - Suggested other priority issues - including narrative and forward-looking information; greenwashing and fraud; and reporting
- Emphasized importance of considering practitioners other than professional accountants
- Encouraged outreach, particularly with reporting and assurance standard-setters

Project Proposal: Project Objectives

Agenda Item 4-A,
Section C

Develop a new overarching standard for assurance on sustainability reporting, that is:

- a) Responsive to the public interest need for a timely standard that supports the consistent performance of quality sustainability assurance engagements; and
- b) Suitable across all sustainability topics, information disclosed about those topics, and reporting frameworks, and is implementable by all assurance practitioners.



**Proposed International Standard on Sustainability Assurance (ISSA) 5000,
*General Requirements for Sustainability Assurance Engagements***

Project Proposal – Question 2, Sections A–D

Agenda Item 4-A

The Board is asked for its views on Sections A–D of the draft Project Proposal, including:

- (a) The proposed project objectives that support the public interest (paragraph 11).



Project Proposal: Scope of Standard



Immediate action

Overarching standard for assurance on sustainability

- Cover both limited assurance and reasonable assurance
- Complete assurance solution covering all areas of the engagement
- More specificity for areas of engagement where priority challenges identified (priority areas)



Future Vision

Further develop and build suite of standards over time

- Respond to emerging issues
- Address additional challenges
- Evolve with maturity of reporting and assurance

Project Proposal: Scope of Standard

Agenda Item 4-A

Address all areas of sustainability reporting:

**ALL
Sustainability
Topics**

**ALL
Information
disclosed
about the
topics**

**ALL
Mechanisms
for reporting**

**ALL
Reporting
standards**

**ALL
Users /
Stakeholders**

**Addresses limited and
reasonable assurance**

**Stand-alone from ISAE 3000
(Revised)***

* i.e., would not be required to apply ISAE 3000
(Revised) and the new standard

Project Proposal: Priority Areas

More specificity for the following priority areas:



Reporting also specifically noted; already extensive guidance available that will be signposted

Project Proposal: Approach to drafting

1

Identify defined terms:

- Based on terms in ISAE 3000 (Revised) and ISAE 3410, and refer to similar or related terms in the ISAs and EER Guidance
- Adapt defined terms, as appropriate, to be more relevant and suitable to assurance on sustainability reporting

2

Identify requirements and application material from ISAE 3000 (Revised) and ISAE 3410:

- Includes identifying whether to use the ISAE 3000 (Revised), ISAE 3410 or a combination of both.
- Will also consider ISAE 3400

3

Consider the ISAs:

- Develop criteria to use as a basis for identifying ISAs that should be considered for including requirements and application material in the new standard - identify which ISAs to consider
- Analyze the ISAs identified, to consider whether there are requirements or application material appropriate for inclusion in the new standard

Project Proposal: Approach to drafting

Agenda Item 4-A

4

Review EER Guidance:

- Identify material that should be built into the standard

5

Address priority areas:

- Understand the specific issues
- Consider whether the material identified through actions 1–4 appropriately address the issue
- Develop further material, as appropriate

Project Proposal - Question 2, Sections E–F

Agenda Item 4-A

The Board is asked for its views on Sections E–F of the draft Project Proposal, including:

- (b) The priority areas that will be more specifically considered (paras. 25-26).**
- (c) The approach to developing an overarching standard for assurance on sustainability reporting (para. 27).**



Project Proposal - Timeline

Agenda Item 4-A

H2 2022 to
H2 2023

- Develop exposure draft
- Outreach with key stakeholders
- September 2023: Approved of ED by IAASB

H2 2023 to
H1 2024

- Publish exposure draft (ED)
- Outreach with stakeholders
- February 2024: Comment period for ED closes

H1 2024 to
H2 2024/
H1 2025

- Consider and address responses to ED
- December 2024 / March 2025: approve final pronouncement (next PIOB meeting approve due process)
- Publish final pronouncement and basis for conclusions
- Outreach to promote standard and educate key stakeholders

Project Proposal - Question 2, Sections G–H

Agenda Item 4-A

The Board is asked for its views on Sections G–H of the draft Project Proposal.



Question 3: Project Proposal - Other Matters

Agenda Item 4-A

The Board is asked whether there are any other matters that should be addressed within the draft Project Proposal.



Progress to date: Initial Work to Develop the Standard

1 Identify defined terms:

- ✓ Proposals developed for discussion with IAASB in September 2022

2 Identify requirements and application material from ISAE 3000 (Revised) and ISAE 3410

- ❖ Initial proposals on some requirements developed (seeking IAASB input in September 2022 on direction and approach)
- Application material not yet started
- Review of ISAE 3400 not yet started

3 Consider the ISAs

- ✓ Developed criteria to use as a basis for identifying ISAs, and identified the ISAs to consider
- ❖ Analyzed certain ISAs identified to consider relevant requirements (seeking IAASB input in September 2022 on direction and approach)
- Application material for relevant ISAs yet to be considered

4 Review EER Guidance

- Partially initiated, but material likely more suitable for application material

5 Address priority areas

- Not yet started

Developing Proposed ISSA 5000: Structure

Agenda Item 4-B

- 1 Conduct of an Assurance Engagement in Accordance with ISSA
- 2 Fundamental Concepts, General Principles and Overarching Requirements
- 3 Engagement Scope and Other Preconditions for a Sustainability Assurance Engagement
- 4 Audit Evidence and Documentation
- 5 Planning
- 6 Risk Identification and Assessment
- 7 Responding to Assessed Risks of Material Misstatement
- 8 Concluding
- 9 Forming a Conclusion and Reporting

Similar structural approach to Proposed International Standard on Auditing for Audits of Financial Statements of Less Complex Entities (ISA for LCE)

CAG Feedback on Structure and Drafting Approach

Agenda Item 4-B – 4-D

- Broadly support approach to the structure and drafting
 - Need to clearly signpost limited and reasonable assurance
 - Some concern about length of a single standard
- Highlighted need for scalability (LCEs may be scoped in through value chain or voluntary reporting)
- Noted a range of matters to be covered whilst limiting the length of the standard, including:
 - Consider incorporating material from ISAs relating to fraud, accounting estimates and other information
 - Questions about how much will address use of others (internal audit and experts)
 - Risk assessment will be complex (given value chain / other entities)

SMP Advisory Group Feedback

Agenda Item 4-B – 4-D

- Support the proposed project
- Concern about adding in too much material from the ISAs, which will create a standard that becomes long and complex
- Aim to develop a standard that is robust and appropriately scalable:

Question 4: Draft Structure

Agenda Item 4-B

The IAASB is asked to share their views on the draft structure of the requirements, in particular:

- (a) The SAWG's proposal to follow a similar approach as the ISA for LCEs, by separating the content into Parts; and
- (b) Whether the draft structure and sequence of the requirements of Proposed ISSA 5000 appears logical and follows the flow of the engagement.



Developing Proposed ISSA 5000: Definitions

Agenda Item 4-C

Approach:

- Identify definitions in ISAE 3000 (Revised) and ISAE 3410
- Identify similar terms in the ISAs and EER Guidance
- Consider most appropriate definition for sustainability assurance – adapt where needed

Developing Proposed ISSA 5000: Definitions

Agenda Item 4-C

Key definitions for discussion:

- **Assertions:**
 - Introduce concept of assertions in sustainability engagements?
 - If so, which definition to use (e.g., current definition in ISAE 3410, ISA 315 (Revised 2019) or others?)
- **Engagement partner:**
 - May be perceived as reflecting accountancy profession
 - Alternative definitions / terms could create complexity given used in quality management standards and IESBA Code

Developing Proposed ISSA 5000: Definitions

Agenda Item 4-C

Key definitions for discussion:

- **Sustainability information:**
 - Replaces “subject matter information” which is complex
 - Will be broadly used
- **Sustainability subject matter:**
 - Replaces “underlying subject matter” which is complex
 - Further amendments to reflect sustainability environment, including “phenomenon” and describing what is “sustainability”

Question 5: Definitions

Agenda Item 4-C

The IAASB is asked to share their views on the proposed defined terms for Proposed ISSA 5000, in particular, whether:

- a) Assertions is a concept relevant in all assurance engagements on sustainability reporting, and therefore should be introduced in Proposed ISSA 5000, and whether the IAASB supports the definition proposed by the SAWG.
- b) The term “engagement partner” and the related definition should be retained “as is”.
- c) The IAASB supports the term “sustainability information” and the related definition.
- d) The IAASB supports the term “sustainability subject matter” and whether:
 - i. The types of subject matter reflect all subject matters that could be within the scope of “sustainability subject matter.”
 - ii. The description of “sustainability” is clear, and if not, how it could be further clarified.



Developing Proposed ISSA 5000: Criteria for ISAs

Agenda Item 4-D

Establish criteria as a basis for identifying which ISAs may be considered in determining whether there are concepts to add to Proposed ISSA 5000

Criteria for identifying which ISAs may be considered:

Addresses a priority
area

Updated recently

Greater specificity
than ISAE 3000
(Revised) or ISAE
3410 that may be
appropriate for the
overarching standard

Questions 6 & 7: Consideration of ISAs

Agenda Item 4-D

6. Does the IAASB support the criteria in paragraph 8 to use as a basis for identifying which ISAs may be considered in determining whether there are concepts that are appropriate for including in Proposed ISSA 5000?
7. Does the IAASB agree with the ISAs identified by the SAWG in applying Step 1 as described in this Agenda Item (see Appendix 1)?



Developing Proposed ISSA 5000: Parts 1-3

Agenda Item 4-D.1

Parts 1-3 are presented as an example of the output from the steps taken so far

- Part 1: Conduct of an Assurance Engagement in Accordance with ISSA
- Part 2: Fundamental Concepts, General Principles and Overarching Requirements
- Part 3: Engagement Scope and Other Preconditions for a Sustainability Assurance Engagement

- ✓ Identified relevant requirements from ISAE 3000 (Revised) and ISAE 3410
- ✓ Used the criteria to identify ISAs to consider
- ✓ Review the ISAs identified to consider whether there are any requirements relevant to ISSA 5000
- ✓ Adapted relevant requirements for assurance on sustainability information

Question 8-10: Draft Requirements Parts 1-3

Agenda Item 4-D.1

8. Are there matters the SAWG needs to consider as it further adapts requirements from ISAE 3000 (Revised) and ISAE 3410 for the purposes of Proposed ISSA 5000?
9. Does the IAASB broadly agree with the SAWG's approach to, and basis for determining, which requirements of the ISAs identified for further consideration have been included and adapted in Parts 1–3?
10. The IAASB is asked to share any other key matters or considerations for the SAWG regarding the proposed draft requirements that are likely to have a significant impact on further progressing the standard.



Next Steps

September 2022: IAASB Board Meeting

- Draft project proposal - seeking approval
- Feedback on structure of overarching standard, definitions and approach to drafting requirements



Ongoing
engagement
with key
stakeholders

December 2022: IAASB Board Meeting

- Draft requirements and application material for priority areas

2023 – 2025: Estimated Timeline

- Exposure draft H2 2023
- Finalize standard H2 2024/H1 2025



IAASB

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